

13. How a Trade Is Implemented Can Be More Important Than the Trade Itself

A good example of this principle was provided by the way O'Shea traded his assumption that the bubble had burst in equities following the initial break from the March 2000 peak. He did not consider short positions in Nasdaq because of the danger of treacherous bear market rallies. Instead, O'Shea implemented his trade idea via a long bond position, reasoning that a bear market in equities implied that most assets would recede from inflated levels, which would lead to an economic slowdown and lower interest rates. Even though the stock market ultimately went much lower, if O'Shea had implemented his idea through a short stock index position, there is a high likelihood that he would have been stopped out by the 40 percent rebound in the Nasdaq index during the summer of 2000. In contrast, the long bond position, which he had implemented instead of going short the equity index, witnessed a fairly smooth uptrend. The trade was highly successful, not because the underlying premise was correct, which it was, but rather because of the way the trade was implemented. If O'Shea had gone short the stock index instead, he would have been correct on his call, but most likely would have lost money by being stopped out during the steep bear market rally in equities.

14. Trading Around a Position Can Be Beneficial

Most traders tend to view trades as a two-step process: a decision when to enter and a decision when to exit. It may be better to view trading as a dynamic rather than static process between entry and exit points. The basic idea is that as a trade moves in the intended direction, the position exposure would be gradually reduced. The larger the move and the closer the market gets to a target objective, the more the position would be reduced. After